

3-2 Adjusting Entries for Accruals

To illustrate adjusting entries, the December 31, 20Y3, unadjusted trial balance of **NetSolutions**, shown in **Exhibit 3**, is used.

Objective 2 - Journalize adjusting entries for accruals.

Exhibit 3

Unadjusted Trial Balance for NetSolutions

NetSolutions Unadjusted Trial Balance December 31, 20Y3			
	Account No.	Debit Balances	Credit Balances
Cash.....	11	2,065	
Accounts Receivable.....	12	2,220	
Supplies.....	14	2,000	
Prepaid Insurance.....	15	2,400	
Land.....	17	20,000	
Office Equipment.....	18	1,800	
Accounts Payable.....	21		900
Unearned Rent.....	23		360
Common Stock.....	31		25,000
Dividends.....	33	4,000	
Fees Earned.....	41		16,340
Wages Expense.....	51	4,275	
Supplies Expense.....	52	800	
Rent Expense.....	53	1,600	
Utilities Expense.....	54	985	
Miscellaneous Expense.....	59	455	
		<u>42,600</u>	<u>42,600</u>

An expanded chart of accounts for NetSolutions is shown in **Exhibit 4**. The additional accounts used in this chapter are highlighted. The rules of debit and credit shown in **Exhibit 3** of **Chapter 2** are used to record the adjusting entries.

Exhibit 4

Expanded Chart of Accounts for NetSolutions

Balance Sheet Accounts	Income Statement Accounts
1. Assets	4. Revenue
11 Cash	41 Fees Earned

12 Accounts Receivable	42 Rent Revenue
14 Supplies	5. Expenses
15 Prepaid Insurance	51 Wages Expense
17 Land	52 Supplies Expense
18 Office Equipment	53 Rent Expense
19 Accumulated Depreciation—Office Equipment	54 Utilities Expense
2. Liabilities	55 Insurance Expense
21 Accounts Payable	56 Depreciation Expense
22 Wages Payable	59 Miscellaneous Expense
23 Unearned Rent	
3. Stockholders' Equity	
31 Common Stock	
32 Retained Earnings	
33 Dividends	